Concepts

Copper · Gas · Bitcoin · Sol

Robin Langer · August 2026

Start here: what we are doing

A rule looks at trading activity once a day and says **hold** or **cash** for each of four things: copper, natural gas, Bitcoin, and Solana.

One pot of money serves all four. When one says "sit out," the money goes where another says "get in."

Solana is the wild one — biggest gains, biggest crashes. We cap it at a quarter of the pot, deliberately.

1. Losing hurts more than winning helps

The most important fact in this document

Lose 50%, then gain 50%. You are **not** back to even:

$$0.50 \times 1.50 = 0.75 \quad \longrightarrow \quad \text{down } 25\%.$$

To climb out of a hole you need a bigger gain than the loss that made it:

You lose	You need to get back
−25%	+33%
−50%	+100%
−90%	+900%
−96%	+2,400%

That last row is real: Solana fell 96% in 2022.

So: avoiding big losses matters more than catching big gains. That is what the whole strategy is for.

The fair coin that still ruins you

Now a game that sounds perfectly fair. Toss a coin. Heads you go **up 5%**, tails you go **down 5%**. You win exactly half the time. Same percentage either way. Surely you break even?

No. One win and one loss, in either order:

$$1.05 \times 0.95 = 0.9975 \quad \longrightarrow \quad \textbf{down } 0.25\%.$$

Every matched pair of wins and losses quietly costs you a quarter of a percent. It never stops. Start with $10,000 and keep tossing:

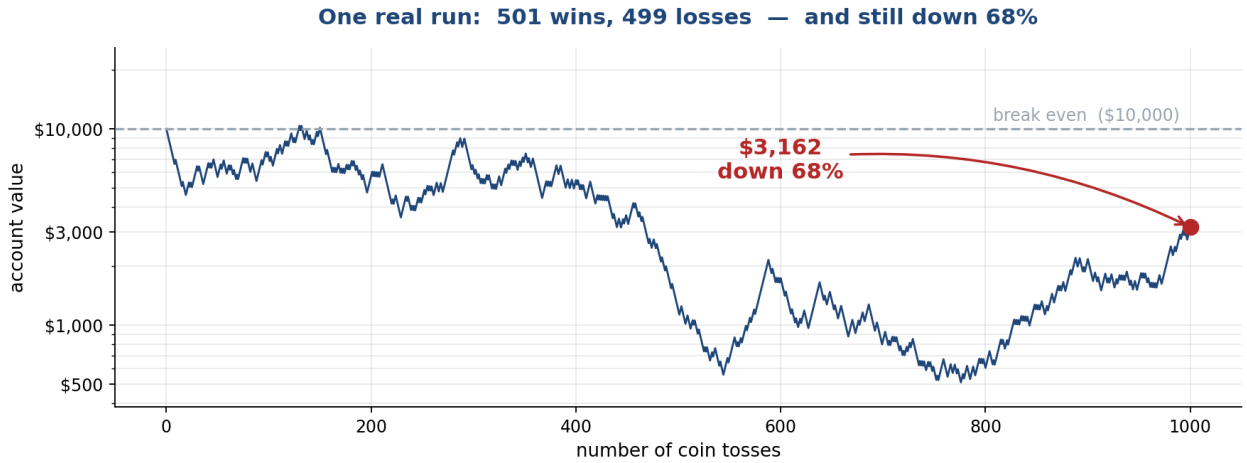
Tosses	You have	Change
10	$9,876	−1.2%
50	$9,393	−6.1%
100	$8,824	−11.8%
200	$7,786	−22.1%
500	$5,348	−46.5%
1000	$2,861	−71.4%

The trajectory is down. Always down. Not because you were unlucky — you won exactly half your tosses — but because the 5% you lose is taken off a bigger number than the 5% you win is added to.

To cancel a 5% loss you need 5.26%, not 5%. That gap is the whole story, and it compounds.

This is the enemy. It has a name — *volatility drag* — and it is why wobble itself costs money, quite apart from being unpleasant.

A perfectly fair coin. The trajectory is still down.



What the picture shows

One genuine run of 1,000 tosses. This coin came up heads **501** times and tails 499 — *more wins than losses* — and still finished at $3,162, **down 68%**.

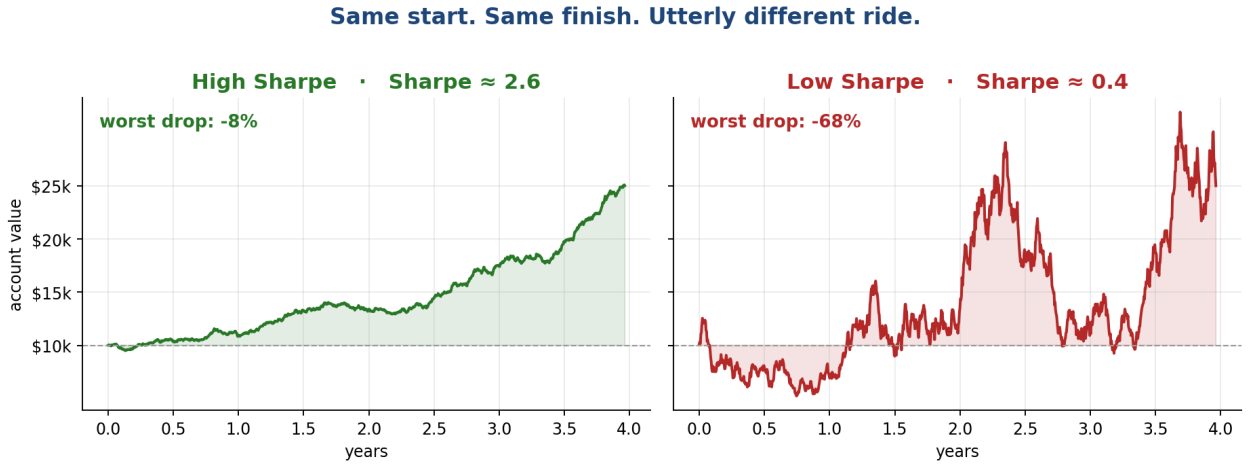
Being too wobbly is bad

Wobble is not just uncomfortable.
Wobble itself loses money.

Two accounts can have identical average returns, and the wobblier one will end up with less money. Not because of bad luck — because of the arithmetic above. The bigger the swings, the worse the bleed:

Swing size	Cost per win-lose pair	
±1%	−0.01%	barely noticeable
±5%	−0.25%	the example above
±10%	−1.00%	serious
±20%	−4.00%	ruinous

Double the wobble and you quadruple the damage.



2. Sharpe — one number for "was it worth it?"

Return alone tells you nothing

"I made 150%" is not an achievement until you know what was risked to get it.

So we divide:

$$\textbf{Sharpe} = \frac{\text{return}}{\text{wobble}}.$$

In words: how much reward you got per unit of stomach-churning you had to sit through.

All four of our assets score between 0.90 and 1.34. The whole portfolio scores 1.44.

3. Drawdown — the number that makes people quit

How deep the holes get

"Drawdown" = the drop from a previous high. Here is the worst drop for each asset, just holding it, versus holding it only when our rule says to:

	Just holding it	**With the rule**
Copper	−35%	−23%
Bitcoin	−77%	−28%
Natural gas	−84%	−53%
Solana	−96%	−79%

The rule helps everywhere. It does not make anything safe. Solana is still the scariest thing on the list *after* the rule has done its work.

4. Don't put all your eggs in one basket

Why this old saying is mathematically true

Our four barely move together. Copper follows Chinese factories, gas follows the weather, Bitcoin follows its own crowd.

When you split money across things that move *independently*, the returns average out but the **wobble shrinks**:

$$\text{wobble} = \frac{\text{wobble of one}}{\sqrt{\text{how many}}}.$$

Four unrelated assets $\Rightarrow \sqrt{4} = 2 \Rightarrow$ **half the wobble, same return.** That is as close to a free lunch as investing gets.

And because of idea #1, less wobble mechanically means **more money at the end**, not just a calmer ride.

The catch: it only works if the baskets are genuinely *unrelated*. Owning four things that all crash together is one bet bought four times.

5. The rule, in full

The entire trading rule

Each day we combine two things: how much the price moved, and how much money was traded. Big move on heavy trading counts; the same move on thin trading barely counts. Add that up over the last 180 days (90 for gas) and compare it to today's price. Call the answer the **ratio**.

ratio above 1 $\longrightarrow$ **hold it**

ratio 1 or below $\longrightarrow$ **hold cash**

Checked once a day. No borrowing. No betting on things falling. When the rule says cash, you hold cash and nothing can happen to you.

That's it. That's the whole thing.

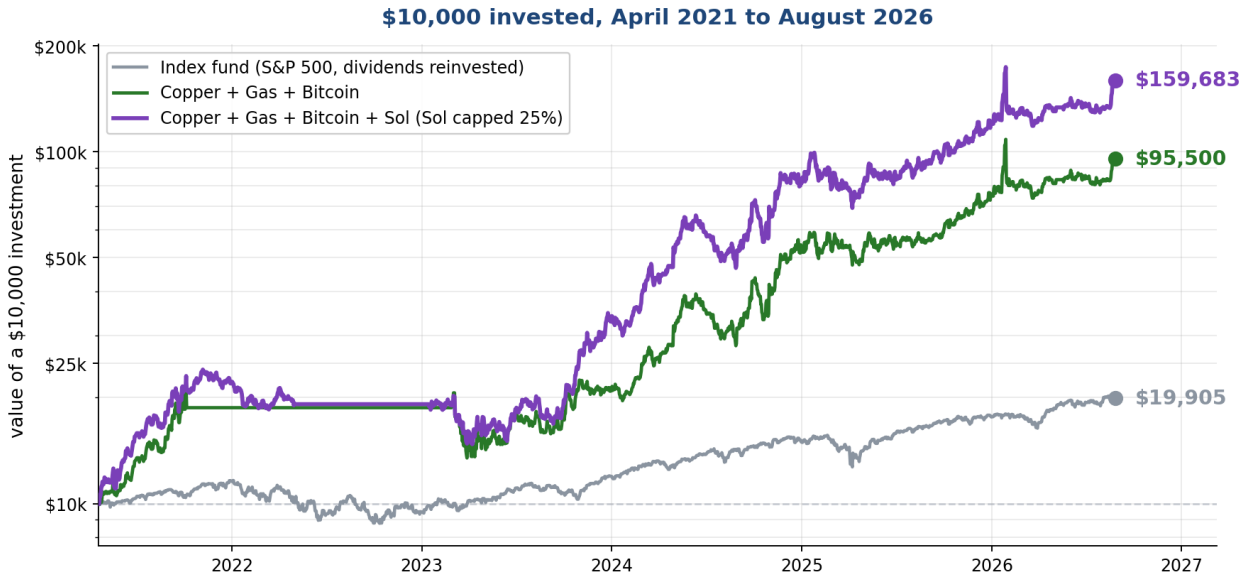
6. One pot, four assets

Capital recycling

Each asset only says "hold" about a third to a half of the time. Four separate accounts would leave most of the money asleep most of the time. So we use one pot and put it wherever the signals point:

Signals on	Where the money goes	Cash
3 assets, no SOL	33% each	—
2 assets, no SOL	50% each	—
1 asset, not SOL	100% to it	—
All four	25% each	—
3 assets, incl. SOL	SOL 25%, others 37.5% each	—
2 assets, incl. SOL	SOL 25%, the other 75%	—
SOL alone	**SOL** 25%	75%
Nothing	—	100%

Result: the money is working **86% of days** instead of a third. We have capped SOL at 25% to protect from violent down-turn.



What it adds up to

$10,000 in April 2021 became		Worst drop
Index fund (S&P 500)	$19,905	−25%
Copper + Gas + Bitcoin	$95,500	−35%
+ Sol, capped at 25%	**$159,683**	−39%

Notice the long flat stretch in the green line. That is **509 days in a row entirely in cash**, from October 2021 to February 2023. The rule sat out the whole 2022 crash (COVID). Nothing was earned — and nothing was lost.

7. The four assets, mildest to wildest

The risk ladder

Asset	Role	Return	Sharpe	Worst drop
Copper	Ballast	+97%	1.05	−23%
Bitcoin	Flagship	+463%	1.16	−28%
Natural gas	Wildcard	+310%	0.90	−53%
Solana	Monster	+7,691%	1.34	−79%

8. Solana: highest risk *and* highest return

Both things are true, for the same reason

The best result in the whole study: +7,691%, the highest Sharpe of anything we tested (1.34), wins 18× bigger than its losses.
The most dangerous thing on the list: a −79% drop even *with* the rule. It wins only half its trades. It has the shortest history.

These are not two facts. They are one fact.

The rule makes money from *movement*. A sleepy asset gives it nothing to work with. Solana's violence is not a side-effect of its returns — it is the *source* of them.

You cannot have the return of a wild asset
without exposure to its wildness.

9. Two rules of thumb

You've got to be in it to win it

Cash never lost anyone money, and cash never made anyone any either.
Every number in this document comes from actually being in the market when the rule says to be. Sitting out entirely is a decision with its own cost — you just don't get a statement showing it.

The rule is designed so that when you're in, you're in for a reason, and when you're out, you're out for a reason. Nothing here asks you to guess.

But don't bet the farm — just a portion of it

Only put in money that could go to zero without changing your life.

Starting small is not timidity. It is how you find out whether you can live with the ride before the ride matters.

10. Where the rule comes from: a horse race

The bookmaker does not pick the favourite. You do.

Three horses in the Melbourne Cup. Punters have bet $100,000 in total. The bookmaker didn't decide the odds — they fall out of *where the money went*:

Horse	Money on it	Share	Odds
Thunderbolt	$60,000	60%	1.67 to 1
Silver Arrow	$30,000	30%	3.33 to 1
Dark Horse	$10,000	10%	10 to 1
Pool	**$100,000**	100%	

Thunderbolt is the favourite for one reason only: the most money is on it. The odds are a **summary of what the crowd believes**, weighted by how much each believer was willing to risk.

Then the money moves — and so do the odds

A rumour goes round that Dark Horse looked extraordinary in a secret training run. $20,000 of fresh money piles onto it:

Horse	Money on it	Share	Odds
Thunderbolt	$60,000	50%	2.0 to 1
Silver Arrow	$30,000	25%	4.0 to 1
Dark Horse	$30,000	25%	4.0 to 1
Pool	**$120,000**	100%	

Dark Horse has gone from 10 to 1 down to 4 to 1. **Nobody decided it was faster.** No official reassessed the horse. The horse didn't change at all.

The money moved, so the odds moved.

Now swap the horses for Bitcoin

A market is the same machine. Every day, people bet:

- **Buyers** put money into the pool — they think the price should be higher.
- **Sellers** take money out — they think it should be lower.
- **Volume** tells you *how much* money moved.
- **The day's price change** tells you *which way*.

So a day when Bitcoin rises 3% on heavy trading is a stampede onto Thunderbolt — a big, confident bet that the price belongs higher. A day when it slips 2% on thin trading is a few nervous punters quietly taking money off the table.

This is why the rule multiplies the price move by the volume. A bet's weight is how much money stood behind it. A 3% move nobody traded on is a rumour; a 3% move on record volume is a verdict.

And that is the whole rule

Add up all those daily bets and you get one number — what **the weight of money says the asset is worth**. We call it the *momentum price*. Compare it to the actual price:

Pool says $110k, market says $95k	money is flowing *in* the crowd is backing this horse → **hold the asset**
Pool says $80k, market says $95k	money is flowing *out* the crowd is quietly leaving → **hold cash**

The strategy is not predicting anything. It has no opinion on whether Bitcoin is a good idea, no model of the economy, no forecast. It only ever asks one question, once a day:

Is the money still coming in, or has it started leaving?

Historical returns do not guarantee future returns.

Everything above is measured on the past. The future has not been tested. This is research, not advice.

Jargon, if you need it

Alpha	Extra return above just buying and holding. The rule's value added.
Backtest	A simulation over history that already happened. Always flattering.
Drawdown	The drop from a previous peak.
Momentum	Trends tend to keep going. The idea the rule rests on.
Ratio	Our signal. Above 1, hold. Below 1, cash.
Sharpe	Return per unit of wobble. 1.0 is good.
Volatility	How much a price jumps around.

Not financial advice

This document is **not financial advice**. It is merely a description of an algorithm which has performed well on historical data. It is what I *would* do if I had any money. **It is not advice for you to do anything with your own.**